CoreWeave (CRWV)

Josh, earnings desk

3Q26 | Earnings Update | Post-call version | 11 November 2026

Post-call version. No knowledge base detected; built from web-retrieved documents (SEC 8-K release, company IR, four call transcripts). 10-Q not yet filed. History limited to 3Q25, 2Q26 and 3Q26. Signed: Josh (analysis); Trevor (transcript work); Scott (scorecard).

1 Executive snapshot

Consensus thesis	Investors own CoreWeave for take-or-pay backlog, tight supply and rising price per MW, and avoid it for leverage, refinancing and customer credit; going in, the stock (about $48) and bonds (2032s above 16%, CDS above 1,100bp) priced a funding problem, not an operating one.
Thesis status	**Strengthening**
Versus expectations	Quarter: beat (revenue $3,661mn vs about $3.54bn consensus and $3.45-3.6bn guide; adjusted operating income $379mn vs $200-260mn guide; interest $846mn below the $860-940mn guide). Outlook: above (FY26 revenue raised to $13.0-13.3bn vs $12.86bn LSEG consensus; FY adjusted operating income raised to $1.275-1.375bn vs about $1.07bn consensus; year-end active power above 1.85 GW kept).
Biggest changes	• Adjusted operating margin doubled to 10% (5% in 2Q, 1% in 1Q); FY26 adjusted operating income guide raised 26% at the midpoint, implying about 16.5% in 4Q at the midpoint (15-18% across the range). • Funding plan reframed: no new parent unsecured debt at current yields through 2027, under $5bn of parent-level capital needed, next delayed-draw loan talked at about 7-7.5%. • About $9bn of customer prepayments and deposits due in the next three months; prepayments on about 70% of this year's deals. • Backlog about $132.5bn (+27% QoQ); contracted power above 4.6 GW (+over 900 MW); active power above 1.7 GW (+over 200 MW). • Total debt $46.9bn, up $11.8bn QoQ; 4Q interest guided to $1.05-1.15bn; capex of $14.5bn (management basis) ran above the top of the guide.
Investor takeaway	**The market's funding-crisis view should soften: a beat-and-raise quarter plus a plan to fund 2027 almost entirely at asset level (under $5bn of parent capital, about $9bn of prepayments in three months) strengthens the thesis, but debt rose $11.8bn in the quarter and credit relief now depends on the next delayed-draw loan pricing near 7-7.5%.**
Monitor next quarter	• Pricing and rating of the next delayed-draw loan (talked at 7-7.5%, 'high investment grade' expected). • 4Q adjusted operating margin against the implied ~16.5%, and active power above 1.85 GW at year-end. • 10-Q: top-customer concentration, debt maturities, ATM usage and the basis of the $14.5bn capex figure.

2 Key changes this quarter

Pillar scorecard

Pillar	What the market assumed	What the quarter showed	Verdict	Source
P1 Funding stays open	Asset-level money at tolerable cost; Goldman +100-200bp vs 13.5-15% unsecured	Net $8.0bn of debt raised in 3Q; weighted cost of debt 7.9%; next loan talked at 7-7.5%; under $5bn parent capital needed through 2027; no parent unsecured at current yields	Confirmed	Release; call
P2 Margin ramp holds	Low-teens 4Q margin; 3Q $200-260mn	3Q $379mn (10%); FY raised to $1.275-1.375bn, implying about 16.5% in 4Q at midpoints	Confirmed	Release; our calc
P3 Delivery on schedule	Active about 1.7 GW; YE over 1.85 GW	Over 1.7 GW active (+over 200 MW); YE target kept; 'no material risks' to 2027 deliveries	Confirmed	Release; call
P4 Backlog quality	Backlog at or above about $129bn; concentration easing	Backlog about $132.5bn; over 75% of committed capex through 2027 tied to IG or enterprise; 3Q concentration not yet disclosed (2Q top customer 36%)	Unresolved	Release; call; 2Q 10-Q
P5 Interest covered	EBITDA covers rising interest	Adj. EBITDA / interest 2.7x (2.4x in 2Q); but 4Q interest guide $1.05-1.15bn, up about 30%	Confirmed	Release; our calc

What management emphasized

More: funding self-sufficiency (prepayments, asset-level loans, a 'high investment grade' rating hoped for on the next loan); EBITDA less interest as a 2027 target; re-contracting of paid-off GPUs (about 130k roll off in 2027, about 170k in 2028) as roughly $4bn of 2027 ARR outside backlog; enterprise and financial-services customers (10% of backlog).

Less or dropped: unsecured bonds as a funding source; any 2026 revenue-per-quarter guide (only FY and 4Q interest given); a total funding-gap number. KPIs gaining weight: EBITDA less interest, prepayments, weighted cost of debt. Losing weight: headline backlog growth on its own.

→ The narrative moved from growth to funding discipline. That is what the market wanted to hear; it now has to show up in loan pricing and 4Q interest.

Analyst focus matrix (Trevor)

Topic	Analysts, 10 Nov call	Status	Answer
Pricing per MW / returns	Borges (Goldman); Chatterjee (JPMorgan); Daryanani (Evercore)	Persistent	Direct on price levels ($20-25mn long, about $40mn short); partial on margin split
Capex and funding	Borges	Persistent	Direct: capex locked at contract signing
Backlog and new contracts	Zelnick (Deutsche); Daryanani	Rising	Partial: 2028 not yet marketed; renewals outside backlog
Customer concentration and credit	Keirstead (UBS)	Persistent	Partial: enterprise mix figures, no lab share of backlog
Power and sites / permitting	Chatterjee; Reitzes (Melius)	New	Partial: no MW split for Texas
Delivery and MW timing	Reitzes	Persistent	Direct: Vera Rubin live
Cost of debt, DDTL tenor, GPU life	None asked directly	Gap	Covered only in prepared remarks

Prior-quarter transcripts were not retrieved on this run, so status reflects the 2Q preview's debates, not a full matrix.

Trevor's watch-list

No analyst named by CK; I chose Amit Daryanani (Evercore ISI) because he pressed hardest on returns after funding cost. 3Q26: asked post-financing returns on short-dated ($40mn per MW) vs long-dated ($20-25mn) deals and whether the renewal ARR is signed. Answer: payback about 6-18 months short-dated vs about 1-2 years long-dated; renewal ARR is outside backlog and unsigned (partial on returns, direct on renewals). Later evidence to track: renewal pricing on the 2027 roll-offs. — Trevor

3 KPI dashboard

Metric	3Q26	2Q26	3Q25	Flag	Trend
Revenue ($mn)	3,661	2,575	1,365	[↑]	+42% QoQ, +168% YoY
Adj. operating income ($mn) / margin	379 / 10%	128 / 5%	217 / 16%	[↑]	Margin doubled QoQ
GAAP operating income ($mn) / margin	207 / 6%	-49 / -2%	52 / 4%	[↑]	Positive again
Adj. EBITDA ($mn) / margin	2,256 / 62%	1,510 / 59%	838 / 61%	[↑]	
D&A ($mn) / % revenue	1,889 / 52%	1,393 / 54%	630 / 46%	[~]	+36% QoQ
Interest expense ($mn) / % revenue	846 / 23%	640 / 25%	310 / 23%	[↓]	+32% QoQ
Adj. EBITDA less interest ($mn)	1,410	870	528	[↑]	Our calc
Net loss ($mn) / EPS	-709 / -$1.27	-626 / -$1.14	-110 / -$0.22	[↓]	Adj. net loss -529
Active power	>1.7 GW	~1.5 GW	~590 MW	[↑]	+over 200 MW
Contracted power	>4.6 GW	~3.7 GW	~2.9 GW	[↑]	+over 900 MW
Revenue backlog ($bn)	~132.5	~104.2	55.6	[↑]	+27% QoQ
Capex, cash PP&E ($mn)	9,441	6,422	3,279	[↓]	Mgmt basis $14.5bn
Operating cash flow ($mn)	1,975	679	1,689	[↑]	2Q single source
Deferred revenue ($mn)	10,002	9,692	5,336	[~]	About $9bn more due
Total debt ($mn) recourse / non-rec.	41,600 / 5,273	31,405 / 3,663	14,035 total	[↓]	+34% QoQ

Metric	3Q26	2Q26	3Q25	Flag	Trend
Cash incl. restricted ($mn)	6,404	6,904	2,969	[↓]	Undrawn DDTL ~$5bn
Weighted avg. shares (mn)	559	551	498	[↓]	ATM up to 35mn shares
Weighted avg. cost of debt	7.9%	n.a.	~10.4% (implied)	[↑]	-250bp YoY per mgmt

Flags: [↑] better, [↓] worse, [~] within ±5% or normal, [?] unavailable. For cost, debt and share lines ↓ means worse for shareholders. Totals are our sums of balance-sheet lines (2Q total $35.1bn on this basis; preview used $35.6bn incl. other items). Sources: 3Q26, 2Q26, 3Q25 releases; call.

4 Guidance analysis

Metric	Guidance	vs. prior	vs. consensus	Mgmt explanation	Analyst read
FY26 revenue	$13.0-13.3bn	Raised (was $12.4-13.2bn)	Above ($12.86bn LSEG)	Execution, pricing, earlier delivery	Citi target to $149; Jefferies cut to $90 (single source)
FY26 adj. operating income	$1.275-1.375bn	Raised (was $0.96-1.15bn)	Above (~$1.07bn VA)	Pricing up ~25% in July, ~10% later	Implied 4Q ~16.5% at midpoints (15-18% range)
Exit-2026 run-rate revenue	$20-21bn	Raised	n.a.	Backlog conversion	Partial; prior figure not captured
FY26 capex	$37-39bn	Low end raised (was $35-39bn)	n.a.	Earlier deployment	Basis of $14.5bn 3Q unclear
4Q26 interest	$1.05-1.15bn	New	n.a.	Debt growth	Up ~30% QoQ
YE26 active power	>1.85 GW	Maintained	In line	Permitted sites	Needs +150 MW in 4Q
2027 framing	EBITDA less interest more than doubles; capex in line with 2026 if only backlog	New	n.a.	Prepayments excluded from metric	Unsecured market avoided

Underlying economic performance: improving. Margin gains came from price (structural while supply is tight, cyclical beyond 2027) and from scale absorbing D&A; interest still takes about a quarter of revenue.

5 Strategic / moat evolution

Dimension	Condition	Direction	Key observations	Investment implication
Access to power and sites	Strong	Stable	Over 4.6 GW contracted; 1.3 GW international; Texas mostly online or permitted	Supports 2027 delivery
Customer credit quality	Mixed	Improving	>75% of committed 2027 capex tied to IG or enterprise; labs still large; 3Q concentration n.a.	Sets loan spreads (225-550bp)
Cost of capital vs peers	Weak	Improving	WACD 7.9% (-250bp YoY); unsecured 2032s above 16% pre-results	Asset-level only; equity via ATM
Delivery speed	Strong	Stable	+over 200 MW in quarter; first Vera Rubin online	Revenue converts on time
Software and managed services	Moderate	Improving	Managed inference over $250mn booked ARR; 70% of new 3Q customers used Forge	Helps re-contracting
Nvidia allocation	Strong	Stable	First cloud with Vera Rubin	Pricing power while supply tight

5-10 year view: scale and Nvidia allocation are real advantages, but the economics depend on renewing paid-off GPUs at good prices and on lenders accepting tenor longer than contracts. The first test of residual value comes with 130k GPUs rolling off in 2027.

6 Major risks and changes

Risk	Prior	Current	Direction	Implication
Funding and refinancing	High	High	Down	Parent need under $5bn; but debt +$11.8bn QoQ and 4Q interest up ~30%
Customer concentration and credit	High	High	Flat	No 3Q split; Microsoft reportedly cutting neocloud suppliers (Dataconomy, 9 Nov, single source)
GPU residual value	Medium	Medium	Up	130k / 170k GPUs roll off 2027 / 2028; DDTL 5.5 runs ~5 years on ~3-year contracts
Pricing	Low	Medium	Up	Margin gains rest on 25% + 10% price rises; oversupply question from Goldman
Delivery and permitting	Medium	Medium	Flat	YE needs +150 MW; post-election regulatory questions on Texas
Dilution	Medium	Medium	Up	ATM up to 35mn shares (~6% of weighted shares); usage n.a.

Concern → response → evidence

Concern	Response	Evidence
Funding gap is unbridgeable at current spreads	Under $5bn parent capital through 2027; no unsecured at current yields	Cash capex less OCF $7.5bn in 3Q; ~$9bn prepayments due; ~$5bn undrawn DDTL; $6.4bn cash incl. restricted
Margin ramp will not show up	Pricing more than offsets cost increases	Adj. operating margin 1% → 5% → 10%; FY guide +26% at midpoint
Labs dominate credit	Enterprise mix rising; 10% of backlog financial services	No lab share of backlog given; top customer 36% in 2Q

7 Capital, funding and per-share impact

Period	Capex (cash)	Op. cash flow	Funding gap	Debt raised (net)	Equity	Prepay (def. rev.)	Net debt	Shares (mn)
3Q25	3,279	1,689	1,590	+2,606 (4,010 less 1,404)	n.a.	5,336	11,066	498
2Q26	6,422	679	5,743	n.a.	n.a.	9,692	28,164	551
3Q26	9,441	1,975	7,466	+7,957 (10,301 less 2,344)	ATM opened; capped calls -566	10,002	40,469	559

$mn. Funding gap = cash capex less operating cash flow. Net debt = recourse plus non-recourse debt less cash and restricted cash (our sums; excludes $18.7bn of operating leases). Shares = weighted average.

Funding in the quarter: $2.6bn DDTL 5.5 at SOFR+550, ~5 years, Ba2/BB+, on contracts averaging ~3 years (August); ~$4.2bn of 2.875% converts due 2033 incl. option (September); ATM for up to 35mn shares (September).

What the next dollar costs: secured, contract-backed loans at about 7-7.5% (management; The Next Web puts it at about half junk-bond yields); unsecured 2032s above 16% before results, now avoided. Maturities in 24 months: current debt $10.6bn (recourse $9.2bn, non-recourse $1.4bn) at 30 September.

→ Do new contracts earn more than their funding cost? Long-dated deals at $20-25mn per MW with 1-2 year payback against 7-8% debt: yes, if lenders keep accepting tenor longer than contracts.

8 Monitoring checklist

Signals: (1) next DDTL size, yield and rating; (2) 4Q adjusted operating margin vs implied ~16.5%; (3) active power at year-end vs 1.85 GW; (4) prepayments collected vs ~$9bn; (5) 10-Q top-customer shares.

Risks building: interest rising faster than EBITDA in 4Q; GPU roll-offs repriced lower; Microsoft reducing neocloud suppliers.

Confirmation: next loan prices at or below 7.5% with an investment-grade rating; 4Q margin in mid-teens; bonds rally toward 10-12%.

Conviction tripwires: a new parent unsecured or discounted equity raise; a delivery slip below 1.85 GW; a large customer reducing commitments.

Questions for owners (post-call)

Question	Why it matters	Asked on call?
You expect the next loan near 7-7.5% and 'high investment grade'. Which customers back it, what share of the 2027 committed capex not yet on a DDTL does it cover, and what is the advance rate? Follow-up: will it close before year-end?	Credit: sets cost of the next $10bn+	Not asked; prepared remarks only
DDTL 5.5 runs about five years on contracts averaging about three. What residual GPU value does the lender assume, and what renewal price is needed to repay it? Follow-up: is any of it parent-guaranteed?	Credit: GPU residual vs tenor	Not asked
4Q interest guide implies about $4.4bn annualized. At what debt level does EBITDA less interest stop rising, and is the 2027 doubling before or after the ~$9bn of prepayments?	Credit and equity: coverage	Partial (metric excludes prepayments)
Implied 4Q margin is about 16.5% at midpoints. How much comes from short-dated contracts at ~$40mn per MW that may not renew at that price?	Equity: structural vs cyclical margin	Partial (Chatterjee)
What share of backlog is with AI labs, and who are the top three customers in 3Q?	Credit: concentration	Partial (Keirstead); 10-Q due
How many ATM shares have been sold, at what price, and is equity part of the under-$5bn parent need?	Equity: dilution	Not asked

Pre-call questions answered: blended cost (WACD 7.9%, next loan 7-7.5%); funding gap (no total; under $5bn parent capital); prepayment share (~70% of deals). Not answered: DDTL tenor vs contracts, IG share of backlog.

Read-across for Kona

→ CoreWeave has put a price on tenant credit: its delayed-draw loans run from about 225bp over SOFR for investment-grade customers to 550bp for AI labs, and prepayments on about 70% of deals are its cheapest capital. For Kona: price contracts to win prepayment, and prefer investment-grade or large-enterprise tenants over labs if it ever finances GPUs; short-dated capacity at about $40mn per MW against $20-25mn long-dated shows the premium for flexibility. Reopened secured lending helps a Kona tenant fund GPUs, but power-only or hosting still keeps Kona out of the spread.